

Chapter 7

Portfolio Policy for the Enterprising Investor: The Positive Side

The enterprising investor, by definition, will devote a fair amount of his attention and efforts toward obtaining a better than run-of-the-mill investment result. In our discussion of general investment policy we have made some suggestions regarding *bond investments* that are addressed chiefly to the enterprising investor. He might be interested in special opportunities of the following kinds:

1. Tax-free New Housing Authority bonds effectively guaranteed by the United States government.
2. Taxable but high-yielding New Community bonds, also guaranteed by the United States government.
3. Tax-free industrial bonds issued by municipalities, but serviced by lease payments made by strong corporations.

References have been made to these unusual types of bond issues in Chapter 4.*

At the other end of the spectrum there may be lower-quality bonds obtainable at such low prices as to constitute true bargain opportunities. But